

KAVACH REGULATORY AUTHORITY

Department of Financial Supervision, Mumbai - 400001

Circular No: KAVACH/2024/04

Date: 01 June 2024

Re: Detection and Prevention of Mule Account Activity

1. REs shall detect money mule activity: accounts receiving and immediately transferring funds, typically within 30 minutes, with no apparent economic purpose.
2. Indicators: (a) Multiple accounts sharing device identifiers or IPs, (b) Accounts opened within 30 days with coordinated patterns, (c) High-frequency credit-debit pairs under 30 minutes.
3. When 5+ accounts sharing 2+ device identifiers process over Rs. 25,00,000 monthly with mule patterns, flag as potential mule ring.
4. Upon detection: (a) Enhanced monitoring for all ring accounts, (b) Compliance officer notification within 4 hours, (c) STR within 3 working days, (d) 72-hour account freeze option.
5. REs shall maintain shared device/IP registry across customer base, updated in near real-time.
6. Quarterly mule detection statistics reported to supervisory department.

SYNTHETIC circular for demonstration. Not actual regulatory guidance.